

JEN.BR pitch deck

PITCH — JEN.BR — PROPOSED VERDICT: WATCH, NO POSITION — re-enter only at $\leq 10\times$ rolling trailing earnings (~€60 today) or on a Q3 order-intake recovery Nov 4 (PROPOSED — PENDING ADJUDICATION)

What we believe

Jensen-Group (JEN.BR), the family-controlled Belgian maker of industrial laundry equipment, just printed a second quarter that looks strong on the surface (revenue +19.4%) but is deteriorating underneath. Operating profit fell 7.1% versus the same quarter last year, the operating margin dropped from 13.9% to 10.8%, and earnings per share fell 27%. More importantly, new orders in Q2 came in 8.8% below last year — the company booked only €110.5m of new orders against €161.9m of revenue shipped — and management itself said it is “cautious for the second half seen the increasing market uncertainty and lower order intake in Q2 2026.” An associate company in the same end market (Inax/Tolon) saw its profit contribution fall 64%, which independently corroborates that the cycle is turning, not just one company stumbling.

We believe the business itself is a quality, conservatively run compounder — the objection is cyclical and price-based, not a fraud or balance-sheet case. Nothing in the filings was found to be misleading; the company prints its own bad quarter plainly in its half-year release ([H1 2026 press release, p.1–2](#)).

What the market believes

The stock has already repriced: €72.2 versus a 52-week high of €89.8 (down ~19.6% from the high, though still ~29% above the 52-week low of €56). The post-earnings drop of roughly 15% came on about $17\times$ normal daily volume — that is the market reading the same tables we read, not a panic in a thinly traded name. At €72.2 the company trades at roughly $6.7\times$ enterprise value to trailing operating cash profit (EBITDA) and about $12\times$ trailing earnings per share of ~€6.01. Both benches concluded the current price is approximately fair: our own corrected mid-case fair value lands near €70 against a €72.2 tape, with the direction of earnings pointing down. In short: the market believes what we believe, and has mostly paid for it already.

Why we might have edge

- **The headline order collapse is overstated, which sets up a contrarian opportunity later.** The scary “orders at only 68% of revenue” ratio is partly an artifact: revenue was unusually high this quarter because a record backlog was being converted. Measured against last year’s revenue base, the same order number is 82%, and the real decline in orders is –8.8%. If the market is anchored on the 0.68 headline, a decent Q3 order number ($\geq$ €135m at the Nov 4

update) could reprice the stock as a quality compounder again — that is our defined re-entry trigger.

- **We understand the buyback better than the headline.** The 963,140-share buyback authorization sounds like ~10% of the company, but the courts established it was authorized on May 18, 2026 — the same board day as a related-party acquisition (Inwatec) that is “partly financed with JENSEN-GROUP shares.” Historical execution is only about 1.2% of shares per year, and the existing treasury stock already covers the acquisition’s share component 2–3 times over. We will not be fooled in either direction: we watch actual weekly buyback disclosures, not the authorization.
- **A possible pull-forward pattern nobody has priced.** Q1 orders were a record (+22.7%) and Q2 broke down, with trade tariffs named in the company’s own risk factors. If Q1 demand was borrowed from Q2 (customers ordering early ahead of tariffs), the underlying trend may be less bad than the sequence suggests — Nov 4 resolves this.

Why it might be priced in

Honestly: it largely is, and that is why the proposed verdict is no position. Every load-bearing bear fact comes from the company’s own regulated press releases, published August 6, and the stock fell 15% on heavy volume the same day. The prosecution bench’s own conclusion was that “nothing here is mispriced — the market is reading the same tables.” Trailing multiples (~6.7× EV/EBITDA, ~12× earnings) are computed on peak-cycle earnings that the order book says are rolling over, so the stock is cheaper-looking than it is. Fair value ≈ €70 versus price €72.2 means there is no margin of safety and no identified edge at today’s price — only a plan for the prices and dates at which edge would appear.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Q2 profit deterioration is hidden by half-year framing	Read the H1-2026 press release directly; cross-derived Q2-2025 from the Q1-2025 comparatives in the Q1-2026 release	The company itself prints the Q2 column: EBIT €17.5m (−7.1%), margin 10.8% vs 13.9%, EPS €1.37 (−27%). Numbers tie out exactly; nothing is hidden. The prosecution’s provenance attack on our numbers failed — the data was right, but so was the framing correction: it’s disclosure, not masking	YES
Orders “collapsed” to 0.68× revenue	Recomputed ratios from the filed tables	Ratio verifies (0.683), but our red bench initially missed that it’s partly a denominator artifact — revenue ran +19.4% on backlog conversion. Against a normal revenue base the figure is 0.82; true order decline is −8.8%. The blue bench caught this error inside the kill fact	YES, with correction
Buyback (963,140 shares) is the value-forcing mechanism	Read the Inwatec acquisition press release and both earnings	Authorization dated May 18, 2026 — pre-crash, same board day as the share-financed related-party acquisition; 2023 program was previously suspended “in	YES — leg cut to run-rate

Claim	How checked	Found	Confirmed?
	releases; checked dates and history	view of an acquisition”; 4-year execution history only 456,313 shares (~1.2%/yr). Our original “32% of float” framing was wrong and was cut. Blue bench further showed the acquisition needs ≤195k shares max, already covered by treasury stock	
Static €60 buy trigger is safe	Recomputed the earnings base (ROE 17.58% × avg equity €313.3m → trailing EPS ~€6.00–6.01 on 9,175,095 shares)	Our own gate design was defective: a fixed €60 equals 10× trailing earnings <i>today</i> , but that denominator is falling (EPS –27% in Q2). A static level would chase a decaying base. Re-specified as 10× <i>rolling</i> trailing EPS, recomputed at every quarterly print	YES — gate re-specified
Inwatec acquisition price (~35× earnings) is value-destructive related-party dealing	Both press releases; minority-interest line analysis	Procedurally clean (independent committee, fairness opinion, unanimous board, clean auditor statement). The minority-profit line jumped from €89k to €728k half-over-half, implying Inwatec earnings are surging — the price may be 8–10× current-year earnings, not 35× trailing. Unresolved until the 2026 annual report’s purchase-price allocation	PLAUSIBLE, leaning benign
Live tradeable price	Interactive Brokers quote requested by both benches	Permission denied both times. Tape is Yahoo-only (€72.2), consistent with the filer’s own June-30 reference of €84.80. Also note the runner flagged one bench quoting “+28.9%” where the pack’s drawdown field reads –19.6% — the two numbers are drawdown-from-high vs bounce-off-low respectively; both are in the pack, but the citation was sloppy and is flagged here per the audit	NO — open gap
Next results date	Financial calendar printed in all three company press releases	Q3 2026 trading update: November 4, 2026, evening (the machine pack had no date; this supersedes it)	YES
“Net cash flow” equals free cash flow	Company’s own definitions page in the H1 release	No — company defines it as net profit + depreciation. Working capital absorbed €25.6m; net debt rose from €9.7m to €25.4m in the half	YES — bear-side fact

PROPOSED ENTRY BANDS

The courts say **no entry today**. These are the reopen bands, taken from the benches’ own math:

- **Price reopen gate: ≤ ~€60, defined as 10× rolling trailing-four-quarter EPS — not a static level.** Today that’s $10 \times €6.01 \approx €60$; the level must be recomputed at every quarterly print because the earnings base is falling (if Q3 EPS declines, the gate moves down with it). A touch of the gate triggers a fresh court review, **never** an automatic buy (falling-knife discipline).

- **Fundamental reopen gate: Q3 order intake $\geq$ €135m at the November 4, 2026 trading update.** That would show Q2's order weakness was a one-quarter dip (or tariff pull-forward payback), and flips the file to a quality-compounder re-entry case at the then-current price.
- **Float-shrink reopen gate: cumulative buyback execution $>$ 150,000 shares net of any shares issued for the Inwatec acquisition, evidenced in the weekly buyback disclosures between September 1 and year-end.** Execution, not authorization, is the signal; note share-financed acquisition payments *add* shares back.
- **Sizing:** none pre-gates. Any position after a gate fires requires (a) a live Interactive Brokers two-sided quote (currently unobtainable — permission denied), and (b) a fresh court pass. No pre-earnings position: November 4 is ~59 trading sessions out, and the order-trend direction is management-confirmed negative.
- **Exits/trims:** not applicable (no position).
- **Catalyst dates:** buyback program starts **September 1, 2026**; Q3 trading update **November 4, 2026 (evening, company-confirmed)**; Inwatec purchase-price allocation in the **2026 annual report (~spring 2027, date not yet announced)**.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 60.0 (deck-provisional: 10x rolling trailing-four-quarter EPS (6.01 today) — rebase at every quarterly print; touch triggers r)
- dated pack JEN.BR|2026-09-01: JEN.BR: 963,140-share buyback program execution window opens (date confirmed=True)
- dated pack JEN.BR|2026-11-04: JEN.BR: Q3 2026 trading update, evening — company financial calendar in all three PRs (date confirmed=True)
- dated pack JEN.BR|2027-04-15: JEN.BR: AR-2026 with Inwatec purchase-price allocation (estimated timing, not announced) (date confirmed=False)

What remains unverified

- **Live executable price and depth** — Interactive Brokers access was denied to both benches; all price work is Yahoo close-based.
- **Inwatec acquisition economics** — whether the price paid is ~35x stale earnings or ~8–10x current-year earnings awaits the purchase-price allocation in the 2026 annual report. Currently leaning benign but not settled.
- **Whether Q2's order weakness is a trend or tariff pull-forward payback** — genuinely undecidable before November 4.
- **Analyst coverage count** — neither bench verified how covered this name is; the “market has read the same tables” assumption is strong but formally unverified.

- **One-quarter order lumpiness** — this is a project business; a single quarter of intake is inherently noisy, which is 1 of the 2 conviction points both benches withheld.

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